

Q#:- What is HR Planning? Discuss its process?

- Planning means deciding in advance what to do and how to do.
- It is one of the basic managerial function.
- It involves the determination of the future.
- HRP is the process by which an organization ensures that it has right number and right kind of people, at the right place and at the right time.
- Also known as manpower planning. Means determination of future manpower needs and to help management in being proactive.
- HRP is the process of forecasting the gap between available manpower and future needs.

Definition: Acc to ILO

"HRP is the process by which an organization ensures that it has right number and kind of people, at the right place, at the right time, capable

of effectively and efficiently completing those tasks that will help the organization to achieve its overall objectives.

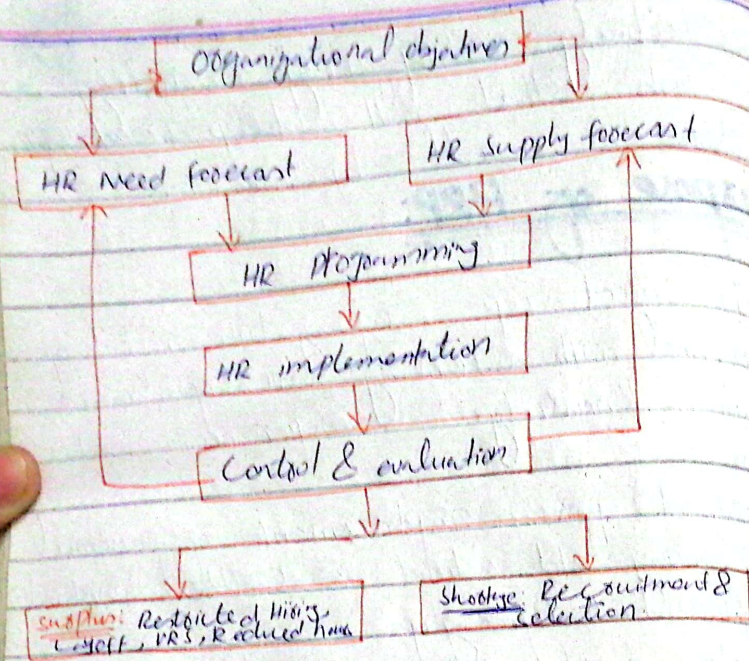
Purpose of HRP:

- ⇒ To meet up organization needs of personnel with necessary qualifications, skills, knowledge, experience and aptitude.
- ⇒ Need for replacement of personnel - replacing old, retired or disabled personnel.
- ⇒ HRP identifies gap.
- ⇒ To meet needs of expansion and diversification of organization.
- ⇒ HRP is useful in anticipating cost of HR which facilitates budgeting easier.

Process of HRP

- ⇒ HRP effectively involves forecasting personnel needs, assessing personnel supply and matching demand supply factors through personnel related programmes.
- ⇒ The HR Planning process is influenced by overall organizational objectives and environment of business.

Environment



1) Environmental Scanning:

⇒ It refers to the systematic monitoring of the external forces influencing the organization.

⇒ The following forces are essential for pertinent HRP.

- Economic factors, including general and regional conditions.
- Technological changes.
- Demographic changes, including age, composition & migration.
- Political & legislative issues, including laws & administrative changes.
- Social concerns, including child labor, educational facilities and policies.

⇒ By scanning the environment for changes that will affect an organization, managers can anticipate their impact and make adjustments early.

2) Organizational Objectives & policies:

⇒ HR plan is usually derived from the organizational objectives.

⇒ Specific requirements in terms of number and characteristics of employees should be derived from organizational objectives.

⇒ Once the organizational objectives are specified, communicated and understood by all concerned, the HR department must specify its objective with regard to HR utilization in the organization.

3) HR demand forecast:

⇒ HDE is the process of estimating the future quantity and quality of people recruited to meet the future needs of the organization.

⇒ Annual budget and long-term corporate plan when translated into activity into activity form the basis for HR forecasts.

⇒ example: In the case of manufacturing company, the sales budget will form the

basis for production plan ^{giving the number}
and type of products to be produced
each period.

⇒ DF influenced by both internal factors
and external factors.

⇒ Demand forecasting is essential because
helps the organization to:

1. Quantify the jobs, necessary for
producing the given number of goods.
- 2) To determine the nature of staff
mix required in the future.
- 3) To assess appropriate levels in different
of the organization.
- 4) To prevent the shortage of personnel.
- 5) To monitor compliances with legal
requirements with regard to reservations
jobs.

⇒ Techniques:

There are the following major techniques used for HRDF:

- Managerial judgment
- Ratio-trend analysis
- Regression analysis
- Work study techniques
- Delphi techniques

HR Supply forecast:

⇒ Supply forecast determines whether the
HR department will be able to procure
the required number of workers.

⇒ Supply forecast measures the number
of people likely to be available from
within and outside an organization.

⇒ Supply forecast is required because
it is needed as it:

- 1) Helps to quantify the number
of people and positions expected to be
available in future to help the organization
realize its plans.
- 2) It assesses existing staffing in
different parts of the organization.
- 3) It will enable the organization to
prevent shortage of people where and
when they are most needed.

HR programming:

○ Once an organization's personnel demand
and supply are forecasted the demand
and supply need to be balanced
in order that the vacancies can
be filled by the right employees at the
right time.

HR Plan implementation:

- o HR implementation requires converting an HR plan into action.
- o A series of action are initiated as a part of HR plan implementation.
- o Programmes such as recruitment, selection and placement, training and development, retaining and redeployment, return plan, succession plan etc. when clubbed together form the implementation part of the HR plan.

Control & evaluation:

- o Control and evaluation represent the final phase of the HRP process.
- o All HR plan include budget, targets and standards.
- o The achievement of the organization will be evaluated and monitored against the plan.
- o Evaluation is done with respect to cost against the budget and the number of people employed against the established.

Objectives of HRP:

- o Effective management of change
- o Forecasting HR resources requirements
- o Promoting employees
- o Effective utilization of HR
- o Effective management of change
- o To determine recruitment levels
- o To cost the manpower
- o To anticipate redundancies
- o To assist productivity bargaining

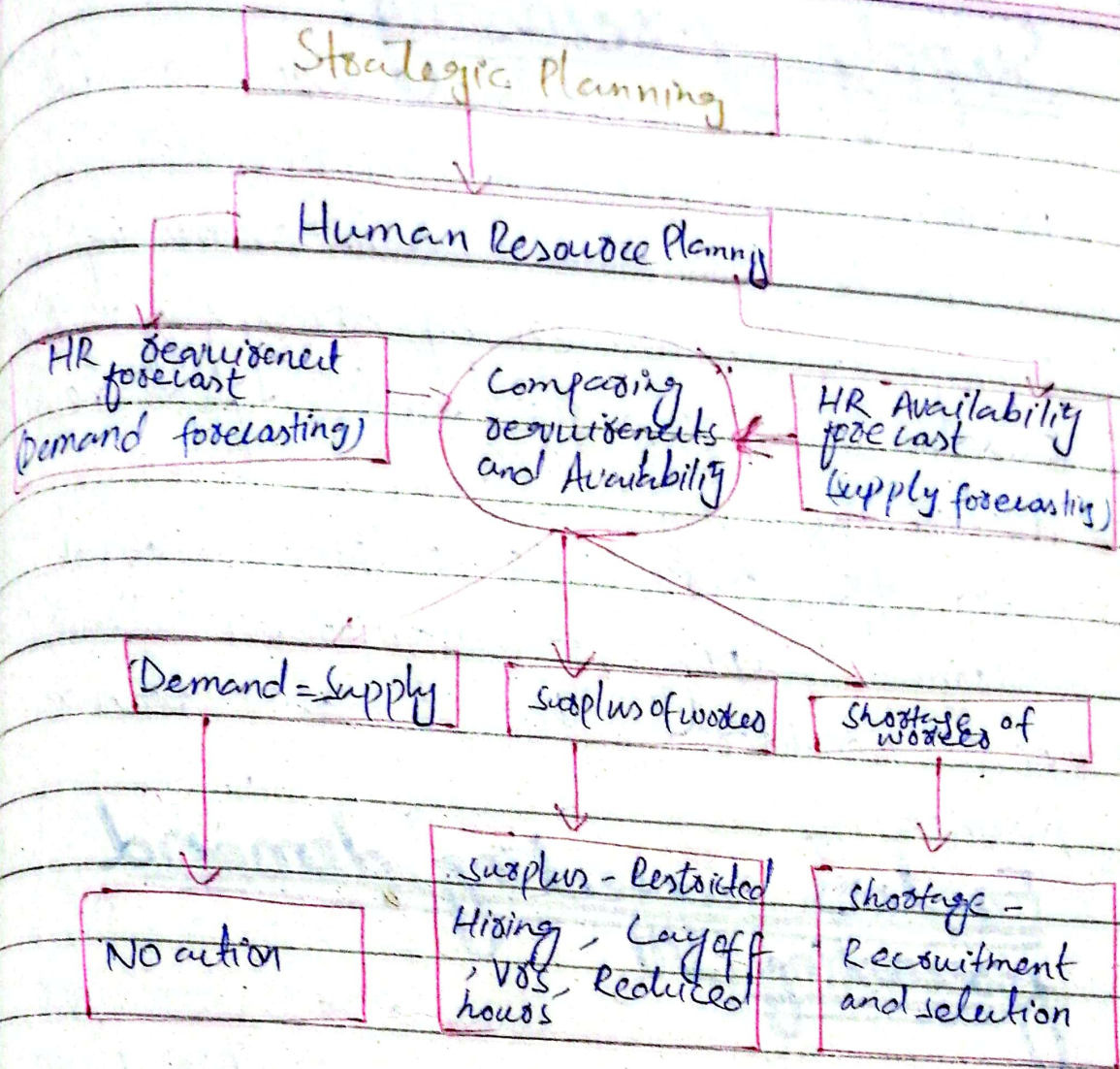
Importance of HRP:

- o Part of strategic planning
- o Future Personnel needs
- o Creating highly talented personnel
- o International strategies
- o Foundation of personnel functions
- o Resistance to change
- o Succession planning
- o Part of strategic planning
- o Uniting the view point of Line & staff Managers

Q# Explain the main techniques used in employment Planning and forecasting?

HR forecasting:

- ⇒ HR forecasting is the process of determining or predicting the needs of the Company by means of data and models.
- ⇒ Forecasting is used to understand the skill and performance level of the current staff to help identify any gaps where there is a rising or restructuring needs to occur.



Demand forecasting:

- Means estimating the future requirement of the employees.
- It can be done on the basis of estimating sales, number of proposals company get or on the basis of estimating the number of orders the company has.

Supply forecasting:

⇒ It is quantitative aspect of hr planning

⇒ It is concerned with estimating the supply of manpower by analyzing the current resource and future availability

⇒ For this purpose the external and internal supply of manpower must be considered by human resource planner.

Factors affecting demand forecasting:

⇒ Demand forecasting is affected by a number of external and internal factors like:

- Competition
- Change in technology & social factors
- Production level
- Employee Separation
- Expansion & growth

Techniques of demand forecasting:

1) Managerial judgment:

⇒ Manager discuss and arrive at a figure of inflows and outflows which would cater to future labor demand.

Bottom-up approach

Top-down Approach

Participative approach

2) Work-Study technique / work load:

⇒ It is used when, what length of operations and number of labor is required.

Example:

Total amount of production required = 4,00,000 Unit

Time required to produce 1-unit = 2 hrs

Work ability per employee = 1600 hrs/annum

Time required to produce 4 Lakh unit =

$4,00,000 \times 2 \text{ hrs}$

$= 800000 \text{ hrs}$

Total workers needed to produce 4-

Lakh unit: $800000 / 1600$

$= 500 \text{ workers}$

Ratio-Trend analysis:

⇒ Demand of manpower is also estimated on the basis of the ratio of man and production, i.e. studying past ratios.

i.e. No. of workers : volume of sales

⇒ Example:

In an organization Man: Product
1:150 (unit)

An organization needs = 1,50,000 unit

Therefore

when 150 unit are produced by:

1,50,000 unit will be produced by = $\frac{1}{150} \times 1,50,000$
= 1000 workers

Econometric models:

⇒ It is based on mathematical and statistical technique for estimating future demand.

⇒ Independent variable (sales, production, etc.)
↓
(establishing rs. by statistical technique)

Dependent variable (manpower / hr)

Delphi technique:

⇒ Given by Norman Helmes Nicholas in 1959.

⇒ From a group of experts the personnel needs are estimated.

Collection of HR needs (questionnaire responses)

↓
Group of forecasts

↓
Summarise various responses

↓
Prepare a report

↓
Review of report by experts

All expert agree with report

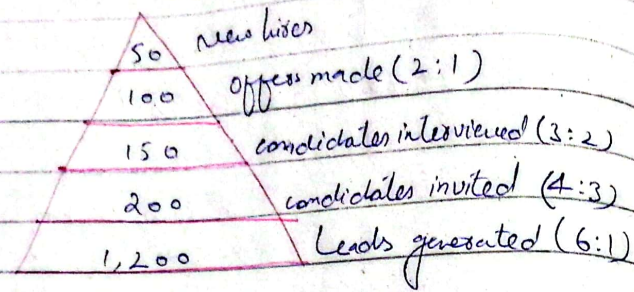
Some or all are not agree with the report

Demand forecasting will be finalize

Person will be reported until all experts agree on report

Recruiting yield pyramid:

- ⇒ it is based on historical record.
- ⇒ The historical arithmetic relationship between recruitment leads and invites, invites and interviews, interviews and offers made, and offers made and offers accepted.



Trend analysis:

Statistical method

- Correlation analysis
- Regression analysis

Trend projection:

- Graphical least square method
- Time Series

Supply forecasting method:

1) Trend analysis:

By examining the trends of the past, the HR department can predict the effect of the same activity on the future of the organization.

- one of the simplest methods of forecasting future HR supply.

Example: An organization reviewing historical data may realize that every year, approximately 5% percent of their staff retire, 1% percent resign, and 2% percent are dismissed.

- Using a simple trend analysis, it can be forecast by assuming an average reduction in internal HR supply of 13 percent per year.

2) Competency model:

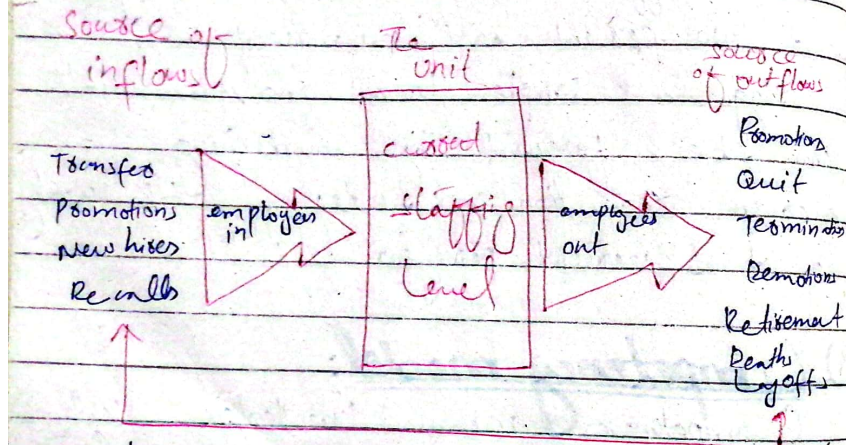
- Competencies means knowledge, skills, and attitudes required for successful performance.

It is a future-oriented model that focus on matching the right skills

or Competencies needed for each job with the skills available within the organization.

Succession planning:

- it is a process of identifying and tracking high potential employees who will be able to fill job management positions when they get vacant.
- This method is also called as "Inflow leaves outflow"



current staffing level - projected outflows this year + projected inflows this year = units internal supply for this time next year

Position replacement chart

Personnel replacement chart

Markov analysis

- Named after Russian mathematician Andrei Andreyevich Markov.
- He developed a transition probability matrix, or Markov matrix.
- It shows the average rate of historical movements from one job to another.

- Analysis that helps to predict internal employee movement from one year to another by identifying percentages of employee who remain in their jobs, get promoted or demoted, transfer, and exit out of the organization.

Transition matrix for - 12 months period

Position	Exit	Managers	Supervisors	Lineworkers
Managers	.15	.85	.00	.00
Supervisors	.10	.15	.70	.05
Lineworkers	.20	.20	.15	.65